

Tutorial-7

1. In the October 26, 1992, prospectus summary of the Staples 5% convertible subordinated debentures due 1999, the offering stated: “Convertible into Common Stock at a conversion price of \$45 per share . . .” If the par value is \$1.000, what is the conversion ratio?

**2. Consider a convertible bond as follows: par value = \$1,000; coupon rate = 9.5%
market price of convertible bond = \$1,000; conversion ratio = 37.383; estimated
straight value of bond = \$510; yield to maturity of straight bond = 18.7%**

**Assume that the price of the common stock is \$23 and that the dividend per share
is \$0.75 per year. Calculate each of the following**

(1) conversion value

(2) market conversion price

(3) conversion premium per share

(5) conversion premium ratio

(5) premium over straight value

(6) favorable income differential per share

(7) premium payback period.

3. A Merrill Lynch note structure called a liquid yield option note (LYON) is a zero-coupon instrument that is convertible into the common stock of the issuer. The conversion ratio is fixed for the entire life of the note. If investors wish to convert to the shares of the issuer, they must exchange the LYON for the stock. As a result, the market conversion price increases over time. Why?